

BUSINESS INSIGHTS & RECOMMENDATIONS REPORT

Sample Superstore | 2014–2017 | Microsoft Power BI

EXECUTIVE SUMMARY

The Week 3 analysis builds directly on the Week 2 Superstore project. While Week 2 established overall growth and highlighted major performance areas, Week 3 investigated whether sales growth was translating into sustainable profitability. The deeper analysis identified substantial variation across months, products, subcategories, discount levels and geographic markets.

The central conclusion is that the business should not be managed through sales alone. Strong revenue can coexist with weak profitability, while some lower-volume areas generate strong margins. Discounting also produces different outcomes depending on the product or subcategory.

KEY BUSINESS INSIGHTS

1. Sales growth does not automatically mean stronger profitability. March 2014 generated \$55,691 in sales but only \$499 profit, while October 2016 generated \$59,688 in sales and \$16,243 profit. Performance must therefore be evaluated through sales, profit and margin together.
2. The business has a strong late-year sales pattern. Overall sales were highest in November at \$352,461, followed by December at \$325,294 and September at \$307,650. The company should prepare inventory, operations and campaigns before this high-demand period.
3. Tables, Bookcases and Supplies are the main profitability concerns. They appear among the weakest subcategories by profit or margin, and Bookcases and Supplies show recurring losses across several years.
4. Discounting should not be managed through a single universal rule. Binders generated \$30,222 profit at an average discount of 37.2%, while Supplies lost \$1,189 at only a 7.7% average discount. Discount decisions should therefore be monitored by subcategory and product.
5. Copiers are a major value driver. Copiers generated \$55,618 total profit overall and \$25,032 profit in 2017 while maintaining a moderate average discount level.
6. High-margin products are not always high-volume products. Labels, Paper and Envelopes have the strongest profit margins, even though Labels and Envelopes are among the least sold subcategories. This creates an opportunity to grow profitable demand selectively.
7. Profitability is geographically concentrated. California generated \$76,381 profit and New York generated \$74,039, making them the strongest reported states. Washington followed with \$33,403.
8. A small group of individual products requires targeted review. The bottom three reported products by profit are the Cubify CubeX 3D Printer Double Head Print, the Lexmark MX611 series Monochrome Laser Printer and the Cubify CubeX 3D Printer Triple Head Print.

BUSINESS RECOMMENDATIONS

Recommendation 1: Conduct a focused profitability review of Tables, Bookcases and Supplies. Review pricing, discount practices, product mix and other commercial drivers before deciding whether to redesign, reposition or reduce these product areas.

Recommendation 2: Introduce subcategory-level discount guardrails. Discounts should be assessed against actual profit contribution rather than applying the same policy across all products.

Recommendation 3: Protect and scale high-value product areas. Maintain availability and targeted promotion for Copiers, Phones and Accessories while continuing to monitor profitability.

Recommendation 4: Plan operations around seasonality. Inventory and marketing preparation should begin before the September–December period. Promotions should be evaluated by profit impact, not sales uplift alone.

Recommendation 5: Review the bottom-profit products individually. Management should investigate demand, pricing and discount patterns before making product rationalization decisions.

Recommendation 6: Test selective growth opportunities in high-margin areas. Labels, Paper and Envelopes should be considered for targeted campaigns or cross-selling while protecting their strong margins.

Recommendation 7: Protect major profit markets while diversifying carefully. California and New York should remain priority markets, while lower-contributing states should be evaluated for scalable opportunities and investment efficiency.

PRIORITY ACTION PLAN

Immediate priority: investigate persistent loss-making subcategories and the bottom-profit products.

Next priority: implement product or subcategory-level monitoring of discounts and profitability.

Operational priority: prepare inventory and commercial activity for the September–December demand period.

Ongoing priority: protect high-performing products and states while gradually reducing dependence on a small number of major profit contributors.

CONCLUSION

The Week 3 findings show that the company has strong growth foundations but requires more targeted profitability management. Sustainable improvement will come from correcting recurring losses, evaluating discount effectiveness at the right level of detail, protecting high-value products and markets, and using seasonal patterns to improve planning. The final dashboard supports these decisions by combining sales, profit, margin, discount, product and geographic analysis.